

I couldn't read anything outside the working directory (permission denied on /Users/ajay/exalted/signalos), so this deck is built purely from the pack and the two bench outputs you pasted. It isn't saved to disk — say the word and I'll write it wherever your deck renderer expects.

PITCH — PBF — VERDICT

PROPOSED — PENDING ADJUDICATION — no position and no purchase at ~\$77; a 0.4–0.5% starter only on a fill at ~\$68 or lower, cancelled outright on a Russian fuel-export-ban lift or a ceasefire.

What we believe

PBF Energy refines crude oil into gasoline, diesel and jet fuel at six US plants. Refiners don't sell oil — they sell the *gap* between what crude costs and what fuel sells for. That gap is enormous right now: the standard three-barrel blended margin is around \$61 versus roughly \$20 a year ago, and the diesel margin at about \$105 is an all-time record.

We believe the gap is wide for a reason that will not close in a quarter. Ukrainian drones have hit at least 25 Russian refineries since August 2025. Russian refinery runs fell to 3.6 million barrels a day in July 2026 — a 24-year low against a 5.3–5.6 million normal. Critically, the damage is not only to simple distillation towers, which are repaired in weeks. About 250,000 barrels a day of *hydrocracking* capacity is offline versus 50–60 thousand a year ago — a four-to-five-fold increase. Hydrocrackers are the units that make diesel, they are built from specialised components, Western sanctions have lengthened the lead times to source those components, and the same plants have been struck repeatedly before repairs finished (Tuapse three times in April, twice in May). The world is short diesel-making capacity, not short crude.

We also believe PBF's own calendar is unusually favourable into the peak. It deferred both its Chalmette and Toledo autumn maintenance shutdowns to 2027, and finishes the Martinez hydrocracker work at the end of September. That leaves all five systems available through the fourth quarter — its cleanest quarter in two years — arriving exactly as margins peak.

And we believe the balance sheet can carry a bad outcome. Cash of \$894.1M against \$1,800.0M of debt principal leaves roughly \$906M net debt on \$6.5B of equity. That is not a company that gets forced into anything.

What we do **not** believe is that this is cheap. It is not. It is a fairly-to-richly priced cyclical whose only defence is that the market has already written down next year.

What the market believes

The market believes almost exactly what we believe about the margin — and has already marked down what comes after.

Analysts model \$17.97 of earnings per share this year and **\$9.70 next year, a 46% decline**. They are not extrapolating the boom. At \$76.97 the stock trades at 7.9 times the street's own post-normalisation number. The average price target is \$67.62 — below the current price — though that average is dragged by a \$38 outlier; the median is \$73, and the three most recent large-bank targets are all *above* spot (UBS \$84 on Aug 4, JPMorgan \$83 on Aug 5, Goldman \$81 on Aug 18).

The market also believes this is a trade, not an investment. The stock is up 181% in twelve months and sits at its 52-week high, 3.04 times its low. It is 89% institutionally held with 9.26% of shares sold short and 3.28 days of average volume to cover — meaning a meaningful part of the move up has been short sellers being forced to buy, not new investors deciding the business is worth more. Insiders filed fifteen sale-related forms between August 14 and 19, selling into that strength.

The spread of analyst estimates is the real tell: this year's earnings forecasts range from \$11.44 to \$26.71, a 2.3-fold spread. Nobody knows. The price is a bet, and it is being priced as one.

Why we might have edge

Three places, and only three.

One: the mechanism read. The widely-reported version of the Russian story is “refineries got hit, they’ll fix them.” Our own red-team analyst reached exactly that conclusion and recommended rejecting the idea on it. It’s wrong on the specifics — the published Kpler and RFE/RL reporting names hydrocrackers, catalytic reformers and hydrotreaters, not just distillation columns, and quotes the sanctions-lengthened parts problem directly. The distinction between “distillation tower damaged, back in a month” and “hydrocracker damaged, specialised parts, sanctioned supply chain, hit again before it restarted” is the entire difference between a two-quarter margin and a two-year one. We caught that the second time we looked. But — honestly — this is published reporting, not proprietary work. Our edge is diligence, not information.

Two: the accounting. PBF’s headline cash generation looks either much better or much worse than it is depending on how carefully you read the cash-flow statement, and both our own benches got pieces of it wrong (detailed below). The clean number: first-half operating cash of \$1,265.1M, less \$476.5M of ordinary capital spending, less \$242.4M of deferred maintenance spending that is easy to miss, equals **\$546.2M** of real free cash. Strip the genuinely one-off insurance cash and it is about **\$435M** for the half — roughly a 9–10% yield on a \$9.2B company, from a half-year that averaged a \$30–35 margin with two plants partly down. Spot margins are nearly double that. This is the calculation the court asked for and neither bench did properly on filed numbers.

Three: the calendar asymmetry. Deferring Chalmette and Toledo is being read as a negative (it pushes cost into 2027). It is also, mechanically, the reason PBF has five plants running into the highest margins on record. Both readings are true; we think the near-term one is larger and less noticed.

Why it might be priced in

Bluntly: we have no disagreement with the market about the thing that matters.

We think margins stay elevated. So does the street — that's why this year's estimate is \$17.97. We think next year is worse. So does the street — that's why next year's is \$9.70. There is no gap between our view and consensus that we can point to and say "this is what they've missed." Our own red-team analyst named this as the killing argument and we do not have a good answer: paying a normal multiple for peak earnings is the classic way to lose money in refining, and at \$76.97 we would be paying 13.8% above the average analyst target and 92% of the single most bullish target on the street.

Everything else compounds that. The stock is at its high after tripling. Part of that tripling is short covering, which is fuel, not valuation. Reported profit includes a \$313.0M non-cash inventory writeback that reverses if crude falls — and crude falling is precisely the scenario in which we'd be wrong. The share count has gone the wrong way (114.6M diluted in early 2025 to 121.07M now; basic shares 113.75M to 117.78M), the buyback is absent from the second-quarter release, and the dividend yields 1.43% on a quarter that earned \$6.22. Management raised \$800M at a 9.875% coupon in March 2025 — at the bottom, when it was expensive.

If the war ends, or Moscow lifts the export ban it has said it will lift "when the market recovers," this stock does not go down 10%.

What could go wrong

Failure narrative 1 — the switch, not the wound. Roughly a quarter or more of the missing fuel isn't destroyed capacity at all; it's withheld by decree. Russia's gasoline-and-diesel export ban runs to end-January 2027 with a publicly stated condition for lifting it. A ceasefire, a negotiated settlement, or simply Moscow deciding the domestic market has "recovered" restores product to the export market overnight, with no repair time required. The record diesel margin is partly a war artifact, and peace is the bear case. *Monitorable*: yes — a published decree, ceasefire headlines, Russian export volumes. This is the risk we can actually watch, and it is the one that cancels the position outright.

Failure narrative 2 — the margin we can see is not the margin PBF earns. (NO TRIPWIRE.)

Everything above quotes *benchmark* refining margins — public, published prices for a standard barrel. PBF's realised margin is a different, private number, and the gap between them is made of things nobody publishes: which crude grades it actually bought and at what discount, what its renewable-fuel credit obligation costs (disclosed in the filings only as risk-factor language — we found no source that quantifies the 2026 dollar amount), how much low-value byproduct it made, what unplanned downtime it ate. Our own bull-case sensitivity — about +\$925M of pre-tax profit per quarter at a \$61 benchmark margin — rests on an **assumed 40% capture rate** that the company does not disclose. Benchmarks could stay at record highs all quarter and PBF's number could still disappoint, and we would not learn it until the print. There is no sensor that can be armed for this, because the input is not published anywhere between quarters. **Unknown-unknown class: unpublished basis risk — the distance between a public price we can watch and a**

private realised number we cannot, where the gap is composed of inputs the issuer never discloses at observable frequency. We are one instance away from a whole family of these; the same structure applies to any commodity processor.

Failure narrative 3 — we get filled only when we’re wrong, and our own rules pull the order anyway. (The reflexive/structural leg.) This is the uncomfortable one. We refuse to buy at \$77. Our first band is \$68. So we only own this stock after an 11% decline — and the most likely single cause of an 11% decline in PBF is *the exact news that invalidates the thesis*: a ceasefire, an export-ban lift, a crude collapse. We have written an order that fills preferentially in the world where we are wrong. That is adverse selection against ourselves, and it is a direct instance of the house rule about never bidding into flow you yourself predict.

Two things compound it. First, our own standing into-print rule automatically cancels resting buy orders within about three days of a scheduled earnings date — so a \$68 order sitting unfilled through late October gets pulled around **October 26** and has to be deliberately re-entered after the print. Nobody should be surprised by that. Second, if we’re *right*, the stock runs from \$77 and we never own it at all; the honest expected outcome of a bands-below-only order on a name at its 52-week high is “no position,” and we should say so rather than pretend we have exposure.

What is *not* a risk here is our own footprint. PBF trades hundreds of millions of dollars a day; a 0.4–0.5% starter for this book is a small fraction of one percent of a single day’s volume. We are a price-taker in both directions. The reflexivity risk isn’t our size — it’s that we would be joining a crowd (89% institutional, 9.26% short with three days to cover) whose forced buying *is* the recent price, at the moment that crowd is most fully committed.

If this position loses money, the most likely reason will be that the war ended — or Moscow simply switched exports back on — and we discovered that the record diesel margin was a policy artifact we had mistaken for a physical shortage, in a stock we bought at its 52-week high after it had already tripled.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Russian outages are repairable in ~1 month, so the margin is temporary	Our red-team analyst’s own web search of Bloomberg/Moscow Times/Reuters	Runs at a 24-year low, Ryazan “at least a month,” Novokuybyshevsk distillation unit shut — all distillation-tower damage	NO — our own analyst stopped too early. Kpler and RFE/RL, in the same public record, document 250 kbpd of <i>hydrocrackers</i> down (4–5× last year), sanctions-lengthened part lead times, and repeat strikes on the same plants before repairs finished. Red found the easy story and closed the file. This was the lead argument for rejecting the idea, and it was wrong.

Claim	How checked	Found	Confirmed?
45% of first-half free cash is one-off insurance money	SEC 10-Q cash-flow statement, line by line	Double-counted. The \$356.5M insurance gain is <i>subtracted</i> on the cash-flow statement — it was never inside operating cash. Actual operating insurance cash was \$111.3M; the other \$245.2M sits in investing, reimbursing rebuild spending that was already excluded from reported capex. Cash-neutral, not a windfall.	NO — our own analyst’s headline number was built from a mechanical error. He <i>also</i> omitted \$242.4M of deferred maintenance spending, understating capital spending by 51%. The two mistakes nearly cancelled: he printed ~\$432M of ex-insurance first-half free cash; the correct figure is ~\$435M. Right answer, wrong arithmetic — which means it would have been wrong on the next company.
The \$313.0M profit boost is non-cash and reverses if crude falls	10-Q	True, and it never touched operating cash either — so it can’t be subtracted from cash flow, only from reported profit	Yes, with the correction
Satellite heat and tank-farm readings corroborate one-region-only capture	Our own pre-flight detector outputs, dates checked	Tank-farm observations are dated October 2025 — eleven months stale , entirely before the margin move they were cited to explain. Delaware City’s “0.00” utilisation is a boundary value, i.e. a broken reading, not empty tanks. Plant heat series start on different dates per site (Nov 2023 / Feb 2025 / Aug 2025), so the trends were never comparable across sites; Chalmette’s own reading swings 3.4→13.2 °C in eight days, more noise than signal.	NO — our only physical corroboration was an artifact, cited by one bench and caught by the other. Both benches now agree the satellite work says nothing about 2026.
Stock trades 13.8% above the analyst anchor	Analyst data, 14 analysts	Above the <i>mean</i> (\$67.62), but the mean is dragged by a \$38 low; median is \$73 and the three most recent large-bank targets (UBS \$84, JPM \$83, GS \$81) are all above spot	Partly — the “above the anchor” framing used a stale anchor. The underlying point (no valuation discount) survives.
We’re paying a mid-cycle multiple on peak earnings	Consensus estimates	Next-year consensus of \$9.70 was omitted from the bear case entirely. \$76.97 /	The framing was wrong; the conclusion is still mostly right. 7.9× a

Claim	How checked	Found	Confirmed?
		\$9.70 = 7.9x the street's own normalised year	normalised number is not a bargain.
Capital return died; balance sheet is stressed	10-Q balance sheet	Buyback confirmed absent ("Treasury stock purchases: —"). But cash \$894.1M vs \$1,800.0M debt = ~\$906M net debt against \$6.5B equity, roughly 0.4x earnings. Not stressed.	Buyback yes; credit stress no
Share count rose 5.5% — real dilution	SEC XBRL + Up-C structure check	Part of the diluted-share rise is exchange of parent-company units, not new economic dilution. Basic shares still rose 113.75M → 117.78M, which is real.	Partly — correctly downgraded from fatal to a sizing issue by our own bear analyst, against his own interest
California's refining margin cap is a hidden tail risk	Energy Commission docket + statute text	Commission staff recommend not implementing the margin cap for at least five years	Clean — the best available bear argument against West Coast margins does not fire. Reported as a positive finding.
PBF takes its best plant down into the peak	Q2 8-K	True for Q3 (West Coast guided 270–290 kbpd on ~323 capacity — still 84–90% <i>during</i> the outage), and it reverses in Q4 when all five systems run	Yes on Q3, inverted on Q4. Our bear analyst used the same maintenance deferral as both a bear point and a bull concession without ever reconciling the two.
Chalmette had a fire on May 8, 2026 with "potential reductions in throughput"	10-Q	True, and entirely missed by the bear bench — a second unplanned Gulf Coast outage inside 15 months. Argues against us.	Yes — found late, by the bull side, against itself
The evidence pack we were handed is accurate	Cross-checked against SEC	The pack's financial block is badly stale (revenue series ends in 2017) and its 52-week high (\$76.00) is below its own quoted price (\$76.97)	NO — the pack is defective and both benches had to work around it. This needs fixing before the next case.
Live price pulled from the broker	Attempted	The broker contract lookup was denied at the permission prompt ; both benches fell back to the pack's tape cross-checked against a web quote	NO — the "always use a live broker price" rule was not satisfied

Two coverage gaps neither bench closed: the dollar cost of PBF's renewable-fuel credit obligation for 2026 (no data source available), and the crude-slate origin mix that would directly test the heavy-crude-discount leg (no import-records connector run available). Neither is load-

bearing for the recommendation; both are load-bearing for narrative 2 above.

PROPOSED ENTRY BANDS

Right now, at ~\$76.97: no purchase. Both benches agree there is no discount at spot. The bear bench recommends rejection; the bull bench recommends a minimum starter with bands below only. Neither recommends buying here.

Level	Action	Size	Basis (from the benches' own math)
\$68.00	First buy	0.4–0.5% of book	Median analyst target (\$73) less a margin; $\approx 7.0\times$ the street's own next-year EPS of \$9.70
\$58.00	Add	to $\sim 0.9\%$ of book total	$\approx 6.0\times$ next-year EPS — a full margin normalisation substantially pre-paid
\$55.00	Bear bench's own band	—	$\approx 3.1\times$ this year's consensus, near the low end of the target range. Our bear analyst would start <i>only</i> here. The two benches are one tranche apart, not a chasm; we resolve it by taking the \$68 fill at the smaller end of the starter range and reserving the rest for \$58–55.
Cap	Hard ceiling	1.0% of book	This is a fairly-to-richly priced cyclical at a cycle high; it does not earn a full-size slot on any reading
~\$77+	Trim back to starter	if filled at \$68 and the Oct 29 print fails the cash test below	Selling back what we bought at the price we refused to pay

Adds beyond the first tranche are gated on evidence, not price alone: the Q3 filing must show operating cash of $\geq \$900\text{M}$ **excluding insurance proceeds and working-capital swings** (the bull bench's bar; the bear bench set $\geq \$1.0\text{B}$). Below that, the margin is not converting and the first tranche stays the last.

Cancel all bands immediately on either of: (1) a published Russian decree lifting or shortening the fuel export ban; (2) a ceasefire or armistice. Both benches agree these end the thesis regardless of price.

Catalyst dates: - **~Sep 30, 2026** — Martinez hydrocracker maintenance scheduled to complete ("end of the third quarter"). A slip announcement would be a negative. - **Oct 26, 2026** — our own standing rule auto-cancels any resting buy order roughly three days ahead of the print. Bands must be deliberately re-entered afterwards. - **Oct 29, 2026** — Q3 earnings. **Unconfirmed** — this date is

vendor-derived and no company release names it. Q2 landed July 30. - **Jan 31, 2027** — stated expiry of Russia's gasoline and diesel export ban. - **2027** — deferred Chalmette and Toledo maintenance both land, in the year the street models a 46% earnings decline.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 55.0 (deck-provisional: Bear bench's own minimum band: ~3.1x FY26 consensus, near the low end of street targets)
- filing watch: 10-Q until 2027-03-01 (deck-provisional: Q3-26 must show operating cash $\geq$ \$900M excluding insurance proceeds and working-capital swings, or no)
- dated pack PBF12026-09-30: PBF: Martinez hydrocracker turnaround scheduled to complete (end of Q3) (date confirmed=False)
- dated pack PBF12026-10-26: PBF: House into-print rule auto-cancels resting buy orders ~3 days before the print; bands must be re-entered (date confirmed=False)
- dated pack PBF12026-10-29: PBF: Q3-26 earnings; vendor-derived date, no company release names it (date confirmed=False)
- dated pack PBF12027-01-31: PBF: Stated expiry of Russia's gasoline and diesel export ban; lift is the outright cancel condition (date confirmed=False)

What remains unverified

- **The capture rate.** The bull case's central number — roughly +\$925M of pre-tax profit per quarter at spot margins — assumes PBF converts 40% of the benchmark margin. PBF does not disclose this. It is the largest single unverified input in the deck.
- **The renewable-fuel credit obligation.** Disclosed only as risk-factor language; no source quantifies the 2026 dollar cost. Unknown magnitude, known direction (a cost).
- **Crude slate origin mix.** The direct test of the heavy-crude-discount leg. No import-records run was available to either bench.
- **The October 29 print date.** Vendor-derived; unconfirmed by any company release.
- **Russian repair timelines.** We have credible reporting that hydrocracker repairs are long and sanctions-constrained. We do not have a sourced estimate in barrels per day and months. This was flagged low-confidence at the outset and is still low-confidence.
- **The Martinez rebuild's physical completion.** Management says full operations resumed in May 2026. No independent satellite confirmation of the parcel was run, though the capability exists.
- **The capital spending guide.** \$825–875M is stated “excluding capital related to the Martinez rebuild” — an unquantified exclusion.
- **The 2027 maintenance cost.** Two deferred turnarounds land in one year; the dollar amount has not been guided.
- **A live broker price.** Both benches used the evidence pack's tape plus a web quote; the broker lookup was denied. Before any order, pull a live quote.

- **The evidence pack itself.** Its financial block ends in 2017 and its 52-week high contradicts its own quoted price. Every number in this deck was re-pulled from SEC filings for that reason — Q2-26 10-Q, Q2-26 8-K release — but the pack builder needs fixing before the next case.

Bench conviction, stated plainly and unreconciled: the bear bench holds 8/10 that this should be rejected. The bull bench holds 7/10 that a minimum starter below the market is the right answer. Both agree there is nothing to buy at \$76.97.

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ADJUDICATION STAMP

BAND COURT — 2026-09-04 (FABLE). Red's lead kills were artifacts (insurance double-count; repairability contradicted by red's own record). 0 novel kills survive; flow gate governs at a 3.04x 52w-high tape w/ 9.26% short. 0.4% court-on-touch $\leq$ \$68, second band \$58; adds gated Q3 ex-insurance OCF $\geq$ \$900M; HARD KILL on export-ban lift decree or ceasefire. No chase, ever, at \$77. Full batch ruling: desk/data/court_artifacts/CONVEYOR_CLEAR_202609041000.md